



SPONSOR: Sen. Walsh & Rep. Osienski  
Sens. Pinkney, Seigfried

DELAWARE STATE SENATE  
153rd GENERAL ASSEMBLY

SENATE BILL NO. 197

AN ACT TO AMEND TITLE 14 AND TITLE 29 OF THE DELAWARE CODE RELATING TO PROJECT LABOR AGREEMENTS FOR SCHOOL PUBLIC WORKS CONTRACTS.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF DELAWARE:

1           Section 1. Amend § 2304, Title 14 of the Delaware Code by making deletions as shown by strike through and  
2           insertions as shown by underline as follows and redesignating accordingly:

3           § 2304. Financing and construction.

4           (a) Construction and renovation projects under this chapter must comply with the requirements for project labor  
5           agreements under § 6960B of Title 29.

6           (b) The School Building Program Acts of 1951, and 1949, being Chapter 148 of Volume 48, Laws of Delaware,  
7           and Chapter 2 (Second Special Session) of Volume 47, Laws of Delaware (pages 1076 to 1090), are continued in full force  
8           and effect and shall govern the financing and construction of the school building programs and projects dealt with therein.

9           Section 2. Amend § 6902, Title 29 of the Delaware Code by making deletions as shown by strike through and  
10          insertions as shown by underline as follows and redesignating accordingly:

11          § 6902. Definitions [For application of this section, see 82 Del. Laws, c. 36, § 3].

12          For purposes of this chapter:

13               (24) “Project labor agreement” means a form of pre-hire collective bargaining agreement covering terms and  
14               conditions of a specific project. “Project labor agreement” includes community workforce agreements.

15          Section 3. Amend Subchapter IV, Chapter 69, Title 29 of the Delaware Code by making deletions as shown by  
16          strike through and insertions as shown by underline as follows:

17          § 6960B. Project labor agreements.

18          (a)(1) A contract relating to a public works project for a school district or charter school must include a project  
19          labor agreement with the Delaware Building and Construction Trades Council.

20               (2)a. Paragraph (a)(1) of this section applies to contracts executed after December 31, 2026.

21               b. Paragraph (a)(1) of this section does not apply to a contract if there was only 1 bid for the craft under  
22          the contract.

23                   (3) For purposes of this section, “school” means a school district or charter school.

24                   (b) A project labor agreement negotiated under this section is binding on all contractors and subcontractors  
25 working on that public works project and all of the following apply:

26                   (1) A project labor agreement shall stipulate to all of the following:

27                   a. The provisions of the project labor agreement apply to work done at construction sites of the public  
28 works project and do not apply to work done outside of those sites.

29                   b. If a union trust fund covered by the terms and conditions of the project labor agreement has not  
30 adopted the building and construction industry exemption authorized under the Employee Retirement Income  
31 Security Act of 1974, 29 U.S.C. § 1383(b), the signatory employers are not obligated to hire employees covered by  
32 that fund.

33                   (2) A project labor agreement may include provisions that do any of the following:

34                   a. Permit contractors and subcontractors working on the public works project to retain a percentage of  
35 their current workforce.

36                   b. Provide that the successful bidder, and any subcontractor of the bidder, are not a party to a labor  
37 agreement with the labor organization other than for the public works project covered by that project labor  
38 agreement.

39                   (3) A project labor agreement must be binding on all contractors and subcontractors on the public works  
40 project through the inclusion of appropriate bid specifications in all relevant bid documents.

41                   (c) A project labor agreement under this section must advance the interests of the school, including in regard to  
42 cost, efficiency, quality, timeliness, a skilled labor force, and safety, and must include all of the following:

43                   (1) Guarantees against strikes, lock-outs, or other similar actions.

44                   (2) Effective, immediate, and mutually binding procedures for resolving jurisdictional and labor disputes  
45 arising before the completion of the work.

#### SYNOPSIS

This Act requires that a contract relating to a public works project executed after December 31, 2026, must include a project labor agreement with the Delaware Building and Construction Trades Council if the project is for a school district or charter school, unless there was only 1 bid for the craft under the contract. A project labor agreement is a type of collective bargaining agreement in the construction industry that is generally negotiated before construction begins. Project labor agreements are intended to provide a legally binding and enforceable contract primarily related to labor conditions and labor-management relations.

Author: Senator Walsh